undertakings in such industries and private enterprise was expected to only supplement the effort of the state.

Third, for all remaining industries, future development was, in general, left to the initiative and enterprise of the private sector. However, the state could start any industry in this category as well.

The policy expressed through these two resolutions and the Industrial Development and Regulation Act (IDRA) 1951 was very clear in intent, content and implementation mechanism. Industrialization, more particularly the establishment of basic industries and utilities, was exclusively reserved for the public sector. The government was to increasingly expand investments in other industries. The private sector was excluded from all industrial sectors and was permitted to invest and operate industries largely in the field of consumer goods. Even where permitted, the private sector would operate under the heavy hand of the government for which a very elaborate system of regulation and control was put in place.

While India did not adopt an outright communist model of production (total government ownership of industries), the 1948 and 1956 Industrial Policy resolutions, IDRA-1951 and many other legislations like the Control of Capital Issues, 1947, ensured that it would be near total governmentalization of industrialization in India.

Industrialization Model Based on Five Key Assumptions

India wanted to industrialize rapidly to escape the low growth of decades and build a socialist society. The country wanted to build basic industries, to make machines to fully exploit its mineral resources and build utilities and an industrial base. The model it adopted was built on the belief that the government would lead industrialization and the private sector would play a subordinate role.

India’s industrialization model was based on five key assumptions: